

STAGE II · EXPANSION

The Core Business Assessment

Your Roadmap to Less Stress and Predictable Growth

For service businesses with \$500,000–\$5 million in revenue, focused on resources and operational systems.

SYNNOVATIA ·

Welcome!

My guess is, like many entrepreneurs, you feel stressed, overwhelmed, or like your business is running you instead of you running your business.

The good news is you're taking the first step towards a brighter future by evaluating your business with this assessment—something that's not easy when stress is your constant companion and the path forward is unclear.

I can assure you that this assessment is your ticket to gaining control of your business and creating predictable growth. I've seen countless entrepreneurs go through this process and come out the other side relieved, energized, and focused. It's a real Eureka feeling of aha moments and creative solutions that sparks achievement.

Whether you have more projects vying for your attention than time to give or simply aren't sure how to prioritize them, the Core Business Assessment helps sort it all out.

Once you complete the assessment, you'll have a clear picture of the current condition of your business, as well as the core area(s) to prioritize and strengthen. You'll also know exactly which areas you can safely set aside for later!

Caution: It's important to view this as a journey to your ultimate business destination. Don't be discouraged if your score isn't what you expect. Your score is neither good nor bad—it just is.

Ready to get started? Let's do this!

How to Use This Assessment

As an entrepreneur, predictable business growth is created through a regular practice of analyze → plan → execute → evaluate. To get the most from this assessment, think of it as a continual process rather than something you do once and dismiss.

That said, head to your calendar now and add a reminder to revisit this assessment every three months. This builds a disciplined habit of strategic thinking, planning, and execution.

Got it scheduled? Perfect!

Instructions

1. Read each statement in each section.

Each of the 10 core business sections includes the statements most relevant to Stage II — 35 in total. Read each statement carefully and check the box if the statement is CONSISTENTLY TRUE for you. Leave the box blank until you have done what is necessary to make it consistently true.

2. Count the number of true statements in each section.

Compile the number of checked boxes of each of the 10 sections on the Progress Chart. Total your score (each statement is worth 1 point).

3. Review your results.

Which areas are strongest? Which ones need attention? Did anything surprise you? We'll get into this at the end of this assessment, including how to evaluate your results and prioritize the area(s) of focus.

One more thing . . .

Like most things in business and life, you get out of this what you put into it. To ensure you get the most from this assessment, I have two recommendations:

1. Go deep.

Get into the data of your business. For the consistently true statements, do you have proof to back up your answer? Are there testimonials that show you're doing it right? Take the time to dig in and get the real picture. The deeper you go, the more this assessment helps you make strategic choices to move your business forward.

2. Review this assessment with a trusted business coach or advisor.

Simply put, it's hard to be objective about your business when you're so close to it (and overwhelmed). The value of an unbiased third party to help you cannot be overstated! Engaging an impartial expert ensures you're being honest and intentional.

The Core Business Assessment

Business Foundation Development

Fundamental to the success of any business is having a strong foundation from which to grow. It's important to take the time to determine your plans, goals, and strategies to understand where you are now and where you want to be in the future. A wise man said, "If you don't have time to do it right the first time, how much time do you have to do it over?"

- ☐ I have identified key growth strategies that produce a competitive advantage and direct my decisions.

TOTAL (out of 1):

0

Product and Service Development

Products and services are the lifeblood of an organization. Your business must be good at finding and growing successful products and services to obtain sustainable growth.

- ☐ I have a product development process for finding and growing new products and services.
- ☐ I know what I must do to move my product and service to the next stage.

TOTAL (out of 2):

Marketing and Branding Strategies

Regular evaluation and rejuvenation of your marketing tactics ensures brand strength and relevance. Building brand equity while delivering superior satisfaction creates beneficial relationships in the marketplace.

- ☐ I regularly evaluate the effectiveness of my marketing efforts to determine which methods provide the greatest rate of return.
- ☐ I manage the touch points of customer contact (i.e., personal interactions, telephone interactions, web site, word of mouth, etc.) to ascertain a consistent brand experience.

TOTAL (out of 2):

0

Accounting and Financial Growth

Following sound accounting procedures and a precise budget are critical to ensuring funds are accurately flowing in and out of your business to meet financial expectations and sustain profitability.

- ☐ The essential and suitable finances are in place to grow and develop my business.
- ☐ Accounts payable is consistently handled in a professional, timely manner.
- ☐ Written accounts receivable policies and procedures support business growth and are clearly conveyed to my customers.
- ☐ A reliable bookkeeping system provides financial data that allows for an accurate business analysis at any point in time.

TOTAL (out of 4):

0

Sales Tools and Growth

Selling is the arm of marketing that builds long-lasting relationships. Understanding your customers, their needs, and developing appropriate selling techniques for your products and services is essential to your success as an entrepreneur.

- ☐ Accurate sales projections are in place for the next six to twelve months.
- ☐ My sales force is compensated and supported adequately.

TOTAL (out of 2):

0

Serving Clients and Generating Referrals

Regular engagement allows you to better serve your clients by anticipating their needs. Serving your clients and assisting in their success leads to customer retention and the opportunity for referrals.

- ☐ I have established benchmarks for serving clients in my industry.
- ☐ I have an objective system for quantifying customer engagement and fulfillment.
- ☐ Standards for serving my clients are written.
- ☐ Quarterly meetings are held with key customers and client-suggested improvements are implemented.

TOTAL (out of 4):

Operational System Development

Operational systems are the glue that holds your business together. Smooth operating systems keep your business performing—even when you, the owner, are absent.

- ☐ My systems are designed to avoid unnecessary paperwork and procedures.
- ☐ My operational systems have more capacity than is currently needed allowing me to grow without struggling.
- ☐ An organizational chart is in place that fosters free-flowing communication preventing duplication of effort.
- ☐ A tracking system allows for effective inventory control, cash management, and accounting information to facilitate growth.
- ☐ I have a written disaster plan that is reviewed regularly to prevent delays in product and service in the event of a calamity (i.e., hurricane, system crash, fire, etc.).
- ☐ Key business variables influencing future growth are identified and monitored daily.

TOTAL (out of 6):

Personnel and Vendor Development

An investment in the skills, knowledge, and experience of your staff is as important as your infrastructure investment. Select your vendors carefully to ensure they are equally committed to the high standards you place upon yourself and your business.

- ☐ I make profit everyone's responsibility.
- ☐ All personnel and vendors have been educated in the proven, effective way I do business.
- ☐ My dedication to lifelong learning develops employees into people they truly want to be.
- ☐ Position descriptions and performance expectations are clearly written and communicated. Everyone fully understands their goals as proven by their performance.
- ☐ I don't tolerate poor vendor and/or personnel performance.
- ☐ Daily goals and objectives inspire and make the best use of everyone's strengths rather than merely provide a to-do list.
- ☐ I take a team approach with my vendors, actively engaging them in my business growth by meeting with them quarterly.
- ☐ I know the qualities, skills, and strengths needed by my staff and vendors and do not hire below those standards.
- ☐ Key result areas have been identified for each position in the business.

TOTAL (out of 9):

0

Business Skill Growth

Mastering your craft is simply the first step for sustainable business growth. Developing your business skills strengthens your chance for success.

- ☐ I am comfortable and confident in resolving conflict and building consensus with clients, vendors, and/or personnel.
- ☐ I have a reserve of resources (i.e., time, money, space, skills, staff, and opportunities).
- ☐ I continually keep the business in good enough shape to sell.
- ☐ I do what I do best and effectively delegate the rest.

TOTAL (out of 4):

0

Entrepreneur Performance and Foundation

The quality of your performance as an entrepreneur and the success of your business are dependent upon your physical and mental wellness.

☐ I am achievement (to grow) focused rather than accomplishment (to-do) oriented.

TOTAL (out of 1):

0

Progress Chart

	Business Foundation (of 1)	Product and Service (of 2)	Marketing and Branding (of 2)	Accounting and Financial (of 4)	Sales Tools and Growth (of 2)	Serve Client and Referrals (of 4)	Operational System (of 6)	Personnel and Vendor (of 9)	Business Skill (of 4)	Entrepreneur Performance (of 1)
Totals	0	0	0	0	0	0	0	0	0	0

TOTAL SCORE (out of 35)

0

Date	Score	+/- Points

Turn Your Score into Action

How did you do? Was there anything that surprised you? Again, don't worry if you didn't get the score you were hoping for—this is your roadmap. It's an opportunity to take a step in the right direction!

That said, while knowledge is half of the battle, action is the other half. Here are easy and tangible ways to turn your score into an action plan.

1. Evaluate your results.

Summarize each section. Compile the number of checked boxes of each of the 10 sections on the progress chart.

2. Select one core area to strengthen first. Just one!

As author Gary Keller is fond of saying “What's the ONE Thing you can do such that by doing it everything else will be easier or unnecessary?” That's the thing you want to select. While this may be difficult, focusing your efforts on improving a single area with maximum impact strengthens your business more quickly than working on multiple areas simultaneously. If you experience difficulty narrowing your focus, refer to the Stages of Business Growth & Development at the end of this document. Take note of any challenges your business is facing that align with the various stages outlined in the chart.

3. Create a SMART goal.

Make sure it is specific, measurable, attainable (within your 90-day window!), realistic, and tightly focused (SMART). Set your goal and work backwards . . . what actions do you need to take and in what order to achieve your goal? Build a series of action steps or tactics to move your business forward.

4. Reassess every 90 days.

As with any map, check it repeatedly to navigate your business to success. Make sure to reevaluate and rescore yourself regularly to track your progress and keep yourself moving forward!

Your stage for this assessment: **II. Expansion (\$500K–\$5M, service industry)**

Stages of Business Growth & Development

Stage	Revenue	Focus	Challenges	Activities	Skills
I. Core Business Development	<i>Service Industry:</i> \$0 – \$500,000 <i>Manufacturing Industry:</i> \$0 – \$1.5 million	Client acquisition	- Underpricing/underearning - Lack of funding - Poor cash flow - Absent/inadequate systems - Owner burnout - Ad hoc planning - Missed opportunities	- Define market niche including competitive advantage - Develop services/products - Manage cash flow - Deliver exceptional value	- Financial (pricing, budget, cash flow analysis) - Business planning (mission, vision, strategy) - Marketing (branding, networking) - Selling
II. Expansion	<i>Service Industry:</i> \$500,000 – \$5 million <i>Manufacturing Industry:</i> \$1.5 – \$15 million	- Resources - Operational systems	- Resources stretched - Operations overwhelmed - Micromanaging owner - High employee turnover - Poor service - Space requirements change	- Manage cash flow - Acquire the necessary physical, financial, technical, and human resources - Formalize operational systems	- Operational - Leadership - Coaching - Delegation - Communication - Strategic planning
III. Professionally Managed Enterprise	<i>Service Industry:</i> \$5 – \$40 million <i>Manufacturing Industry:</i> \$15 – \$125 million	- Profits - Service/product expansion	- Few good managers - Poor planning and execution - Sales grow but profits don't - Organizational inefficiencies	- Management development - Planning and organizational structure - Formalize activities of the organization	- Strategic planning and development - Performance management
IV. Organizational Maturity	<i>Service Industry:</i> \$40 – \$175 million <i>Manufacturing Industry:</i> \$125 – \$500 million	- Culture - Management	- Owner bored/ready to retire, resign, or sell - Employees self interest vs. company interest	- Promote shared vision - Manage employee commitment and customer perception	- Organizational development - Visionary leadership